

Global Markets Daily: The Valuation Case for a Stronger CNY

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- One of our highest conviction views in FX is that the Chinese Yuan (CNY) will outperform the appreciation embedded in forwards in 2026. In today's *Global Markets Daily*, we discuss the valuation argument behind this view.
- The Yuan is around 25% undervalued on a weighted average of our two valuation models. Low inflation and high productivity relative to the US have pushed the GSDEER fair value stronger over time, especially since the Covid outbreak, and we expect this trend to continue. Under our GSFEER framework, our above-consensus current account projections point to real FX appreciation versus peers.
- Some argue that CNY undervaluation is a key driver of the competitiveness of Chinese exports and that appreciation directly contradicts our view of Chinese export outperformance. We disagree. First, given that CNY is so deeply undervalued, the strengthening we project would still leave the currency comfortably in inexpensive territory. Second, the current account strength is itself a source of appreciation pressure, especially in the context of a still relatively closed financial account. This is what happened during China Shock 1.0 following the 2005 Yuan revaluation. Third, as other countries are potentially negatively impacted by growing Chinese market shares, we think that Yuan appreciation will be part of the offsetting mechanism.
- There are two main risks to our view. First, that Chinese domestic demand or export growth are weaker than we expect. However, we expect further policy easing to kick in if domestic demand undershoots expectations, and note that even under lower current account surplus projections, the Chinese current account surplus is still above our estimate of its 'norm'. Second, CNY appreciation is ultimately a policy choice, and for this reason historical convergence rates to fair value are low. However, we are encouraged by the consistent policy push in the fixing this year and the positive asymmetry of rolling total returns more recently, and we expect this pattern to continue in 2026.

The Valuation Case for a Stronger CNY

One of our highest conviction views in FX is that the Chinese Yuan (CNY) will outperform the appreciation embedded in forwards in 2026, supported by our economists' above-consensus forecast for export growth and the current account. Already this year, the CNY fixing has gradually but consistently moved lower, and has

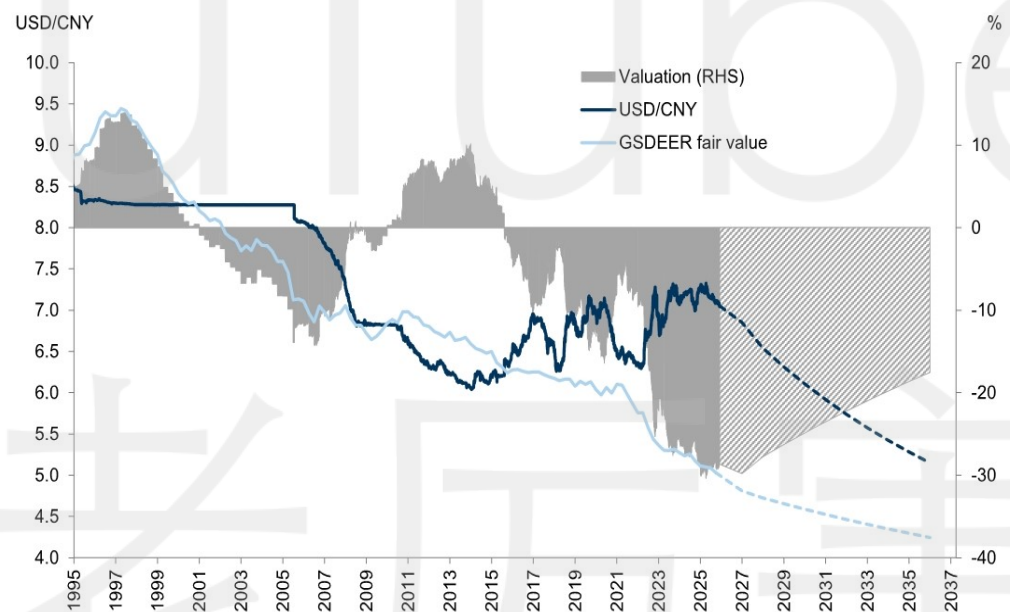
done so ahead of spot.

In today's *Global Markets Daily*, we discuss the valuation argument behind our bullish CNY view, leveraging our formal FX valuation models: GSDEER and GSFEER (see [here](#) for more details on the model methodologies).

Low inflation and high productivity relative to the US have pushed GSDEER fair value stronger over time

Our [GSDEER](#) model is essentially an augmented purchasing power parity (PPP) model. It postulates that real exchange rates tend to mean-revert over time, but differences in productivity and terms of trade will influence that underlying mean. Under this framework, the current CNY GSDEER fair value is close to 5.00, pointing to a 30% undervaluation signal versus the Dollar. This fair value has been trending lower over time and our [fair value projections](#) suggest that this will continue to be the case over the next 10 years ([Exhibit 1](#)). Therefore, even with the appreciation that we forecast, the Yuan would remain undervalued (by close to 19% in 2035).

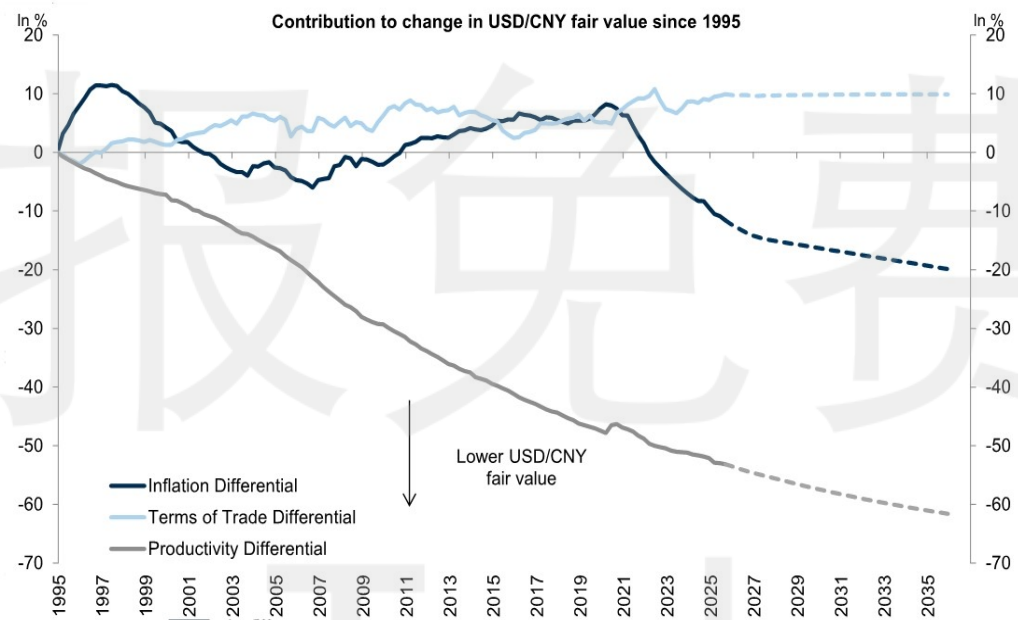
Exhibit 1: CNY currently screens as 30% undervalued on GSDEER, and we project the USD/CNY fair value to continue to trend lower over time



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

This CNY fair value strengthening over time has been driven by both productivity and inflation differentials ([Exhibit 2](#)). Higher productivity in China versus the US has been the key driver of the decline in the USD/CNY fair value over the last 30 years (i.e. pointing to a stronger CNY), whereas inflation and terms of trade differentials were more range-bound. But, following the post-Covid inflation surge, China's lower inflation rate relative to the US has had a larger contribution and implies that the nominal CNY should appreciate in order to keep the real exchange rate unchanged. Under our forecasts, we expect inflation and productivity differentials will continue to push the GSDEER CNY fair value stronger over the next 10 years.

Exhibit 2: This CNY fair value strengthening over time has been driven by both productivity and inflation differentials



Dashed lines represent GS forecasts

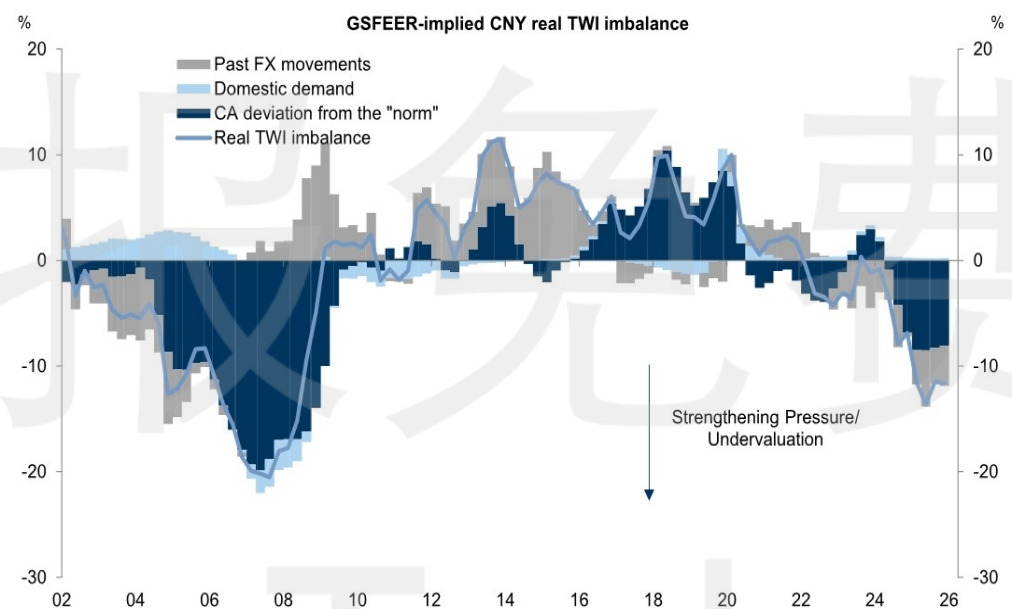
Source: Goldman Sachs Global Investment Research

Our above-consensus current account projections point to real FX appreciation versus peers under our GSFEER framework

Our GSFEER model estimates the likely outcome for the exchange rate given the gap between a country's current account and its 'norm', controlling for the output gap and past FX moves. These additional inputs capture other macroeconomic shifts that can help or challenge this external adjustment.

According to this model, CNY is around 12% undervalued in real trade-weighted terms, with a significant contribution from the current account deviation from its 'norm' (around 9% of the 12% undervaluation signal) ([Exhibit 3](#)).

Exhibit 3: Our FEER framework implies the real trade-weighted CNY is around 12% undervalued currently



Source: Goldman Sachs Global Investment Research

As [Exhibit 4](#) shows, China's current account surplus is now well above its 'norm', and under [our economists' forecasts](#) this gap will grow further in coming years supported by higher real export growth (and weaker domestic demand has also contributed to a higher current account balance recently). Even under the IMF's forecasts, China's current account surplus is still above our 'norm' estimate, which would point to FX appreciation pressures.

Under our current model framework, we estimate China's current account surplus at around 3.6% (we use an HP-filter to smooth the data to avoid large quarter-on-quarter swings), relative to a 'norm' of 1.7%. There is a high degree of uncertainty on both these estimates and the FEER model-implied FX adjustment is highly dependent on both. For one, the theoretical current account norm requires a number of assumptions and is not directly observable. Moreover, there are some [historical discrepancies](#) between Chinese trade balance data and balance of payments (BoP) data, with the trade balance data pointing to a larger surplus than the BoP data we use here.

To account for these issues, we look at different illustrative scenarios in [Exhibit 5](#), where the current account 'norm' is lower than we estimate or the current account surplus is larger than we project. These scenarios would point to a larger current account gap, which is probably closer to the current circumstances. Under our current FEER framework, the current account 'gap' relative to the norm would be worth nearly 9% on the real trade-weighted CNY, holding the other two model inputs (the output gap and past FX moves) constant. If, instead, the current account 'norm' were to be lower at 1%, then this would be associated with a larger 12.5% CNY adjustment. Under a larger current account surplus of 5% and assuming a norm of 1.7%, the likely FX adjustment would be closer to 16% in real trade-weighted terms. And, combining these two scenarios, the FEER-implied FX adjustment would be closer to 20%. Our FEER model [empirically estimates](#) the likely FX outcomes given the model's inputs, so it will be different from the traditional FEER model that estimates trade equations and assumes

the current account gap closes fully to its norm. In this illustrative exercise, we are holding the other model inputs constant but, in reality, these would also shift if the current account balance changes.

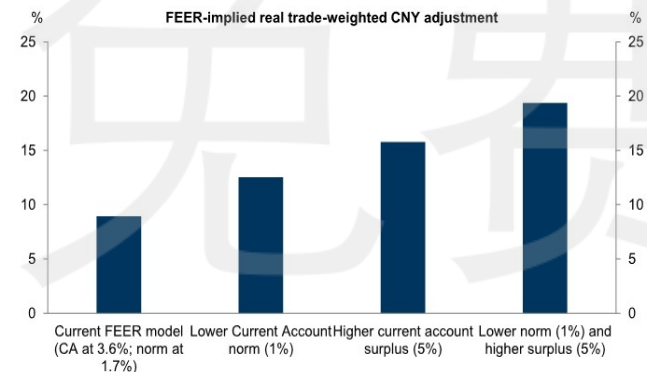
Exhibit 4: China's current account surplus is above our 'norm' estimate and we expect this gap to grow



Dashed dark blue lines represent GS forecasts

Source: IMF, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 5: A smaller current account 'norm' or a larger current account surplus would point to a bigger FX adjustment

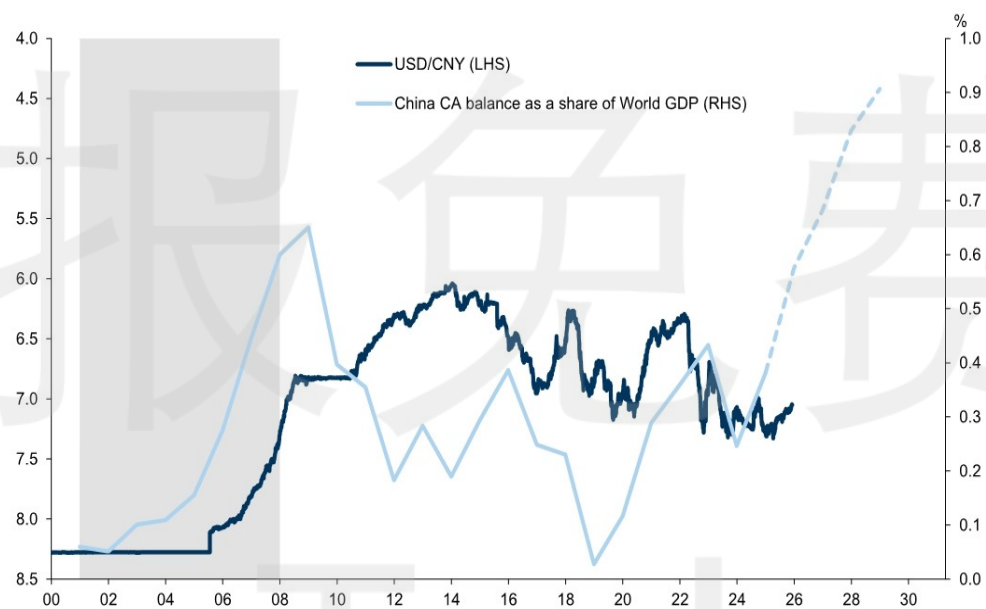


Source: Goldman Sachs Global Investment Research

Currency appreciation not at odds with export growth outperformance

While there is always substantial uncertainty around FX fair value metrics, we think that the surge in China's trade surplus and its large gains in export market share help corroborate these model estimates. Relatedly, some argue that CNY undervaluation is a key driver of the competitiveness of Chinese exports and that appreciation directly contradicts our view of Chinese export outperformance. **We disagree for three main reasons. First**, given that CNY is so deeply undervalued, the strengthening we project would still leave the currency comfortably in inexpensive territory, as [Exhibit 1](#) suggests. Plus, with our forecast of broad Dollar weakness and the continued negative inflation differential between China and the US, the real trade-weighted appreciation would be smaller than the nominal CNY move versus the Dollar. **Second**, the current account strength is itself a source of appreciation pressure, especially in the context of a still relatively closed financial account. This is because without a substantial offsetting increase in foreign holdings, such as FX reserves, China's export revenue would create demand for CNY. We saw these dynamics at play during China Shock 1.0, which was the last time China's external sector was similarly dominant. This was followed by a [re-valuation](#) in July 2005 that paved the way for a large spot appreciation ([Exhibit 6](#)). **Third**, as other countries are potentially negatively impacted by growing Chinese market shares, we think that Yuan appreciation will be part of the offsetting mechanism.

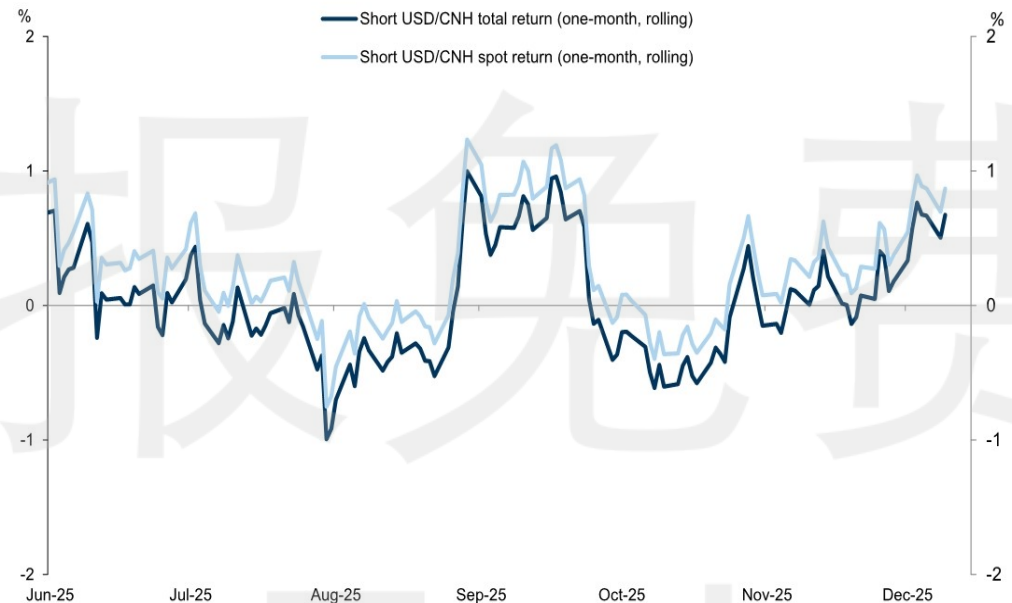
Exhibit 6: The last time China's external sector was similarly dominant (at the time of the first China shock), it was followed by a large currency appreciation



Dashed series reflects GS projections.

Source: Haver Analytics, IMF, Goldman Sachs Global Investment Research

There are two main risks to our view. First, that Chinese domestic demand or export growth is weaker than we expect. However, we expect further policy easing to kick in if domestic demand undershoots expectations, and note that even under lower current account surplus projections, the Chinese current account surplus is still above our estimate of its 'norm'. Second, CNY appreciation is ultimately a policy choice, and for this reason historical convergence rates to fair value are low. However, we are encouraged by two developments this year: (i) the consistent policy push in the fixing's bias towards CNY strength, and (ii) the asymmetry of the fixings and rolling total returns. For instance, in the face of escalating US-China tensions in October, the CNY fix was held stable, but then moved lower once there was a de-escalation. Investors often note that spot returns for long CNY positions do not offset the carry cost of holding these positions. Looking at rolling monthly returns for USD/CNH, we find this to be the case on average, but there is an asymmetry towards more positive total returns, especially more recently (Exhibit 7). We expect CNY appreciation to be gradual and managed but think that, even so, it can outperform the forwards.

Exhibit 7: Rolling monthly total returns for CNH longs are turned more positive recently

Source: Bloomberg, Goldman Sachs Global Investment Research

TRADE IDEAS

Best Trade Ideas Across Assets

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1. Stay short USD/EGP, opened July 16, 2025, at 0.0%, with a total return revised target of 12.5% and a revised stop of 8.5%, currently trading at 10.5%.
2. Stay long 20s on 10s20s30s weighted SOFR fly (weights 0.6x: 2x: 1.4x), opened August 1, 2025, at 0.24, with a target at 0.18 and a stop at 0.27, currently trading at 0.22.
3. Stay long PHP 5Y bond FX-hedged, opened August 5, 2025, at 5.93%, with a target of 5.25% and a stop at 6.35%, currently trading at 5.45%, as of December 05, 2025.
4. Stay long INR 30Y bonds (on a FX hedged basis), opened September 5, 2025, at 7.22%, with a target at 6.75% and a stop at 7.50%, currently trading at 7.31%.
5. Stay short SGD/TWD, opened October 3, 2025, at 23.57, with a target at 22.0 and a stop at 24.5 currently trading at 24.05.
6. Stay short CAD/ZAR, opened October 9, 2025, at 0, with a total return target of 6% and a stop at -3%, currently trading at 0.5%.
7. Stay long 10y Gilts vs Bunds, opened November 7, 2025, at 1.80, with a target at 1.40 and a stop at 2.05, currently trading at 1.666.
8. Stay long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running), opened November 7, 2025, at 1.5bp, with a target at 10bp and a stop at

-5bp, currently trading at 0.8bp.

9. Receive KRW 2Y IRS, opened November 18, 2025, at 2.80%, with a target at 2.45% and a stop at 3.05%, currently trading at 2.925%.
10. Stay long 10y Gilts on ASW, opened November 21, 2025, at -0.52, with a target at -0.44 and a stop at -0.57, currently trading at -0.48.
11. SFRZ6/Z7 steepeners, opened November 21, 2025, at 0.06, with a target at 0.20 and a stop at 0.00, currently trading at 0.09.
12. Stay short EUR/HUF, opened November 21, 2025, at 383.46, with a target at 375 and a stop at 390, currently trading at 384.65.
13. Receive AUD 5y5y swap rates vs pay NZD 5y5y, opened November 28, 2025, at 0.47%, with a target at 0.15% and a stop at 0.65%, currently trading at 0.38%.
14. Stay short AUD/NZD, opened November 28, 2025, at 1.14, with a target at 1.11 and a stop at 1.17, currently trading at 1.1467.
15. Stay short GBP/SEK, opened December 3, 2025, at 12.51, with a target at 12.10 and stop at 12.80, currently trading at 12.53.

Disclosure Appendix

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